

AGREEMENT FOR THIRD PARTY ADMINISTRATION SERVICES FOR QUALIFIED PLANS

THIS AGREEMENT FOR THIRD PARTY ADMINISTRATION SERVICES FOR QUALIFIED PLANS (“Agreement”) is entered into on 01 day of November 2018_ (“Effective Date”) between **Wallace Group**, (the “Plan Sponsor”), with principal offices located at **2609 Dearborn Street, Easton, PA 18045** and PenServ Plan Services, Inc. a South Carolina corporation (“PenServ”), with principal offices located at 102 Trade Zone Drive, W. Columbia, South Carolina, 29170.

In consideration of the mutual covenants and promises set forth herein and for other good and valuable consideration the receipt and sufficiency of which are hereby acknowledged, the parties mutually agree as follows:

Section 1. Definitions.

1.1. Data. Information provided by Plan Sponsor, individual(s) and or entity(ies) authorized by Plan Sponsor, including but not limited to Fiduciary(ies), employee(s), third party agents of the Employer, and or Participant(s), to PenServ in the format required by PenServ.

1.2. Fees. The various fees and amounts owing, due, and payable to PenServ for its Services, by Plan Sponsor, Participant and or another entity as may be agreed upon, in the amounts set forth in Schedule A, attached hereto and made a part hereof, and the time of payments set forth in Section 5 herein.

1.3. Fiduciary. A person or entity as defined by Section 3(21) the Employee Retirement Income Security Act of 1974, as amended, and applicable regulations, appointed or designated by the Plan Sponsor.

1.4. Participant. An employee of the Plan Sponsor who has satisfied the eligibility requirements contained in the Plan. and maintains assets in the Plan.

1.5. Plan. A retirement plan which meets the requirements of Section 401(a) of Internal Revenue Code of 1986, as amended, and applicable regulations adopted by the Plan Sponsor.

1.6. Services. PenServ’s services selected from and set forth in Schedule B of this Agreement, attached hereto, and made a part hereof, to be performed in exchange for the Fees set forth in Schedule A. Services shall include providing access to PenServ’s website pursuant to the acceptance of the terms and conditions of such usage.

Section 2. Responsibilities of PenServ. PenServ shall provide Services pursuant to the Data and or direction(s) provided by individual(s) and or entity(ies) authorized by Plan Sponsor, including but not limited to Fiduciary(ies), employee(s), and third parties, and or Participant(s).

Section 3. Responsibilities of Plan Sponsor. The Plan Sponsor agrees to: (a) provide to PenServ accurate and complete Data within thirty (“30”) days of PenServ’s request; (b) make contributions to the Plan in a manner and within the timeframes established by applicable laws and regulations; (c) take appropriate action, when required, to maintain the qualified status of the Plan; (d) distribute to Plan Participants, all required documents required by applicable laws and regulations; (e) operate the Plan according to the terms of the Plan document, applicable laws and regulations; (f) be responsible for the accuracy and timely filing of governmental reports received from PenServ; (g), provide to PenServ, upon its request, any documents and or information to enable PenServ to perform its obligations hereunder; and (h) pay to PenServ Fees as set forth in Schedule A.

Section 4. Representations, Warranties, and Acknowledgements of Plan Sponsor.

4.1. Representations and Warranties. The Plan Sponsor, represents, and warrants that it is eligible to adopt and sponsor the Plan, and assumes all related responsibilities and liabilities regarding the Plan’s adoption.

4.2. Acknowledgements. The Plan Sponsor acknowledges and agrees that: (a) it, and or its designated or appointed person(s) including but not limited to the Plan trustee, and administrator, shall serve as Fiduciary(ies) to the Plan and be responsible for Plan policy(ies), procedures, interpretations, and operations; (b) PenServ does not exercise any discretionary control with respect to the Plan, and or the Plan assets, and PenServ’s obligations hereunder are ministerial, and non-fiduciary in nature; (c) PenServ is authorized by Plan Sponsor, to rely on Data provided by the Plan Sponsor, Participants, or any other entity instructed by Plan Sponsor to provide Data; (d) PenServ shall not be responsible for any loss, error or cost resulting from incomplete, inaccurate or untimely Data received from the Plan Sponsor, Participants, Plan Fiduciary(ies), and or other agent(s) authorized by the Plan Sponsor; including Data provided by the Plan Sponsor or its authorized representative(s), which caused PenServ to make an unauthorized distribution from the Plan; (e) if the Plan Sponsor elects in Schedule B to have PenServ distribute on its behalf, the fee disclosure information required by Section 404(a)(5) and Reg. Sec. 2550-404a-5 of ERISA, the Plan Sponsor must request that its vendor(s) provide to PenServ in a timely manner and in the format required by PenServ, all information required under the

Participant Fee Disclosure Requirements, in order for the Plan Sponsor to comply with those provisions and PenServ shall not be responsible for any inaccurate or omission of information by the vendor; (f) PenServ shall not be responsible for any contribution that is deemed by any federal or state agencies or regulatory bodies to be non-deductible or paid in an untimely manner; (g) in the event Plan Sponsor fails to follow certain procedures as required or recommended by PenServ to maintain the compliance of the Plan, causing PenServ to perform additional services to cure such failure(s), the Plan Sponsor will pay to PenServ any related additional fees; (h) PenServ may receive compensation from mutual fund(s) or vendor(s) towards the cost of recordkeeping and other Plan services. The terms of payment of such compensation shall be subject to the agreement between PenServ and the mutual fund(s), or vendor(s); (i) PenServ does not provide legal, investment, tax, or accounting advice to the Plan Sponsor, Plan Fiduciary(ies), Participant(s), beneficiary(ies) and or Plan Sponsor's agents.

Section 5. Fees, Terms of Payment, and Non-Payment.

5.1. Fees. The Plan Sponsor agrees to pay to PenServ all Fees in the manner set forth in this Section 5, and in the amounts set forth in Schedule A. The amounts set forth in Schedule A shall remain in effect for Twenty Four ("24") months from the Effective Date, for Services provided by PenServ. Plan Sponsor will be notified of any price changes, including those affecting renewals, Sixty ("60") days prior to the effective date of a change.

5.2. Terms of Payment. Unless agreed to otherwise in writing by PenServ: (a) the set-up/take-over fees are due immediately upon execution of the Agreement; (b) all invoices will be issued quarterly to the appropriate parties for services performed; (c) all payments will be due within Thirty ("30") days of the invoice date; (d) all overdue or remaining balances shall be subject to the standard rate applied by PenServ to all outstanding balances and will be published on PenServ's invoice on any balance due that is outstanding for more than Thirty ("30") days; and (e) the Plan Sponsor will pay all expenses of PenServ, including any out-of-pocket costs and reasonable attorney's fees incurred by PenServ in the collection of such outstanding balance.

5.3. Non-payment. Non-payment of Fees shall be a breach of this Agreement, and subject to Section 6.3.

Section 6. Term, Renewal, and Termination.

6.1. Term. The Agreement shall commence on the Effective Date and continue for a period of Twelve ("12") months, unless terminated earlier, pursuant to Sections 6.3.

6.2. Renewal. Unless agreed to otherwise in writing by the parties, the Agreement shall automatically renew at the end of the term, for an additional Twelve ("12") months.

6.3. Termination. Either party may terminate this Agreement upon Sixty ("60") days' prior written notice to the other party. In the event of termination, all reports and documents prepared by PenServ will remain the property of PenServ. Upon termination, PenServ will provide to the Plan Sponsor a standard de-conversion hard copy report. Any additional reports or files requested by the Plan Sponsor will be provided based on PenServ's then standard hourly rate. All Fees due to PenServ must be fully paid prior to the release of any documents or information under this paragraph. The representations, acknowledgements and obligations set forth in Sections 4, 5, 6, 7, 8, and 9 shall survive the termination of the Agreement.

Section 7. Indemnifications. To the extent permitted by law, the Employer and PenServ (hereinafter "Party" or "Parties") shall indemnify and hold harmless each other (including each officer, employee, and member of the governing board of the other in his or her official capacity) from every claim, demand or suit which may arise out of or be made due to the negligence of the Indemnifying Party ("Indemnitor") or the failure of the Indemnitor to fulfill its obligations under this Agreement, including but not limited to statutory penalties. The Indemnitor, however, shall not be liable for any claim, demand, or suit arising out of or attributable to the willful misconduct or negligence of any other Party or any other Party's respective officers, employees, former employees, agents, representatives or members of its governing board. The Indemnitor may, in its sole discretion and at its own expense and risk, assume the defense of and/or settle any court proceeding that may be brought against the party seeking indemnification ("Indemnitee") or any officer, employee or member of the governing board of the Indemnitee, in his or her official capacity, based on any claim, demand or suit covered by this Indemnification. Any settlement or judgment rendered against the Indemnitee or any of its respective officers, employees or members of its governing board, related to the indemnification, shall be satisfied by the Indemnitor. The Indemnitee must notify the Indemnitor within twenty (20) business days of the receipt of a claim for which it seeks indemnification. The Indemnitor's liability shall be limited to actual damages and out of pocket expenses subject to a limit of the value of the Agreement.

Section 8. Limitation of Liability and Disclaimers.

SUBJECT TO THE LIMITATIONS SET FORTH HEREIN NEITHER PARTY WILL HAVE ANY LIABILITY FOR INCIDENTAL, CONSEQUENTIAL, INDIRECT, SPECIAL OR PUNITIVE DAMAGES OF ANY KIND OR FOR LOSS OF REVENUE OR LOSS OF BUSINESS ARISING OUT OF OR IN CONNECTION WITH THIS AGREEMENT, REGARDLESS OF THE FORM OF THE ACTION, WHETHER IN CONTRACT, TORT (INCLUDING NEGLIGENCE), STRICT PRODUCT LIABILITY OR OTHERWISE, EVEN IF ANY REPRESENTATIVE OF A PARTY HERETO HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES; PENSERV HEREBY DISCLAIMS ALL WARRANTIES, EXPRESS OR IMPLIED, INCLUDING WITHOUT LIMITATION ANY AND ALL WARRANTIES OF MERCHANTABILITY AND/OR FITNESS FOR A PARTICULAR PURPOSE IN CONNECTION WITH THIS AGREEMENT.

Section 9. General.

9.1. Notices. Notices or other communications under this Agreement shall be hand delivered, mailed by first class mail, postage prepaid or via an overnight mail service (such as Federal Express), addressed as follows; or as changed by notice:

To PenServ: PenServ Plan Services, Inc.
102 Trade Zone Drive,
W. Columbia, South Carolina 29170

To Plan Sponsor: Wallace Group
2609 Dearborn Street
Easton, PA 18045

9.2. Confidentiality. Plan Sponsor, and PenServ agree to keep information received from the other pursuant to fulfilling their respective obligations under the Agreement confidential ("Confidential Information"). The parties herein agree not to disclose Confidential Information or any information they knew or should have known was confidential without the prior written consent of the other. Information within the public domain, or rightfully acquired from a third party shall not be confidential. Confidential Information may be disclosed pursuant to a legal mandate or an order of a court of competent jurisdiction.

9.3. Governing Law and Venue. This Agreement will be governed by the laws of the State of South Carolina. Action(s) shall be brought in the State or Federal courts located in the County of Lexington, in the State of South Carolina.

9.4. Force Majeure. Neither party will be responsible to the other party for any loss, damage, compliance error or expense caused by its failure to perform any duty or obligation under this Agreement which is due to causes beyond its control, such as an act of God, fire, flood, explosion, war, insurrection, riot, vandalism, terrorism, strike, power failure, interruption or loss of telephone/telecommunication services, or governmental act.

9.5. Counterparts. This Agreement may be executed in counterparts, each of which will be deemed an original, but which together will constitute a single instrument.

9.6. Power and Authority. The undersigned representative of each party to this Agreement hereby represents and warrants that the undersigned is an officer, director, or agent of that party with full legal rights, power and authority to enter into this Agreement on behalf of the party and bind that party with respect to the obligations enforceable against the other party in accordance with its terms.

IN WITNESS WHEREOF, the parties have signed this Agreement as of the date or dates written below.

Wallace Group

By: JEFFREY E. GREEN
Title: OWNER / CFO
Signature: Jeffrey E. Green
Date: 12/6/18

PenServ Plan Services

By: Yvonne Kepler
Title: Chief Operations Officer
Signature: Yvonne Kepler Digitally signed by Yvonne Kepler
Date: 2019.02.19 15:18:13 -0500
Date: _____

SCHEDULE A – FEES

NOTE: Takeover or Set-Up Fees are billed prior to the transition to PenServ. Section I Fees are stated as annual costs, but are applied on a quarterly basis for the number of months the Plan is administered or partially administered by PenServ. Section II fees are annual fees and are applied

Set-Up (New Plans)/Take-Over (Existing Plans) Services

Plan Takeover - Electronic Plan Conversion and Standard Prototype Document	\$ 1,500
New Plan Start-Up	\$ Waived

Section I. Annual Base and Participant Services

Standard Safe-Harbor 401(k)	\$ 1,500
Traditional 401(k)	\$ 2,100
Annual Participant Fee	\$ 50 per participant
Custodial Fees	5 basis points
Additional for Cross-Tested Plans	\$ 600
ERISA Account Maintenance and Reporting (if Applicable)	\$ 250/year
IRS Form 5500 and Audit Materials	
Annual Fees \$ 400	Form 5500 with less than 100 employees
\$ 1,500	Form 5500 with more than 100 employees (Includes Level 2-SOC Audit Report)
\$ 50	Each for Multiple Schedules
\$ 1,000	Directed Trustee Fee
\$ 95	DOL eFiling of Form 5500 (each filing)

Section II. Full Annual Services

Customized Enrollment Materials	\$ 4/each
ERISA Administrative Compliance Module	\$ 12/participant

Section III. Event Fees. Applied each time an event occurs.

Distribution Processing and Tax Reporting Fee:	\$ 70/non-periodic distribution
Installment Payments	\$ 15/periodic distribution
Loan Fees:	
Initial Fee	\$ 70 per loan
Quarterly Administrative Fee	\$ 15/loan
Refinance Fee	\$ 125 per loan
QDRO Review and Processing	\$ 250/order

Note: The base fee and participant fees will be adjusted for revenue-sharing received from mutual fund companies.

► Indicate Who Should pay for Specific Services (Must check one box, if no box is checked, fees will be charged to Plan Sponsor):

General Administrative Fees (Fixed Dollars)	☒ Plan Sponsor	☐ Apply charge to Plan Assets
Participant Fees (Fixed Dollars)	☒ Plan Sponsor	☐ Apply charge to Plan Assets *
Basis for Participant Fee	☒ Per Capita	☐ Pro-rata
Custodial Fees (Basis Points)	☒ Plan Sponsor	☐ Apply charge to Plan Assets
Loan Fees (Event)	☐ Plan Sponsor	☒ Apply charge to Participant Account
Distribution Fees (Event)	☐ Plan Sponsor	☒ Apply charge to Participant Account
Other: _____	☐ Plan Sponsor	☐ Apply charge to Participant Account

OPTIONAL FEES. These fees would be applied only if the Employer separately requests one the services. No cost will be incurred by the Plan or Employer without a separate Engagement Letter signed by the Employer.

- ☐ **Fee Disclosure Processing.** Generation and publishing of fee disclosures, posting updates to Plan Website, preparing notices for new participants, updating disclosures for changes to fees and investments, tracking contact with participants regarding disclosure dates, updating Plan Sponsor with regulatory compliance \$ 850/year

NOTE: Printing and mailing to Plan Participants \$2.50/participant

Report Mailing: \$ 1.50 per participant plus additional postage for supplemental material mailed with Participant Statements

Self-Directed Accounts: \$ 200.00 per year for each Independent Broker Self-Directed Account

Data Processing/Consulting, etc.: The standard hourly rate of \$180 will apply for data processing, contribution calculations, projections, non-standard plan testing, plan analysis, extraordinary research and other activities not included in the Standard Fees.

Plan Documents and Amendments (Only) –

Fee(s):	\$ 500	Standardized Prototype Plan Document with Summary Plan Description
	\$ 850	Non-Standardized Prototype Plan Document with Summary Plan Description
	\$ 175	Minor Amendments and Summary of Material Modifications. Substantial amendments quoted on an individual basis.
	\$ 800-1500	Restate Plan for Required Amendments (Based on Plan Document format.)

Customized documents and submission packages quoted upon request

SCHEDULE B – SERVICES TO BE PROVIDED BY PENSERV UNDER THIS AGREEMENT

Note: Administration shall include the following unless otherwise indicated under Section VIII below.

I. Plan Installation/ Conversion

- Design and installation of the Plan Document, Summary Plan Description and Administrative Forms (including the Enrollment Form, Beneficiary Form and Set-up Documents). An implementation specialist will provide assistance through conference calls to review the process and provide information on the establishment and design of the Plan.
- For takeover plans, a file format and Conversion information will be provided to assist the Plan Sponsor in securing the Data. All Plan assets must be reconciled in a manner based on generally accepted accounting principles and must provide a transfer value equal to the total of participant account records.

II. Administrative Recordkeeping tasks

- Review census for inconsistent data
- Process and allocate contributions to Plan participants based on Employer-provided payroll/contribution data
- Assist in the review and confirmation of employer contributions;
- Update participant vesting, based on data provided by Employer
- Apply non-vested funds to the forfeiture account
- Perform required nondiscrimination testing;

III. Asset Reconciliation Services

- Perform standard trust accounting;
- Prepare annual financial statements

IV. Reporting and disclosure tasks

- Prepare annual plan sponsor reports;
- Generate summary annual report;

V. Distributions and loans

- Apply vesting schedule to plan benefits;
- Distribute benefits to plan participants;
- Calculate permissible loan amounts;
- Prepare required tax reporting for plan distributions
- Review of QDROs

VI. Tax Preparation and Audit Services

- Prepare Plan Sponsor's Federal Form 5500 and required schedules;
- Prepare financial statements for plan auditor
- Maintain SOC1 for audited plans

VII. Services Not to be Provided/Miscellaneous Changes to Services

The Plan Sponsor has requested that the following additional services not included above or modifications to the services offered under the Plan services part of this Services Agreement:

☐	_____
☐	_____
☐	_____
☐	_____